CHAPTER 10

CASH FLOW STATEMENT

CHAPTER ESSENCE AT A GLANCE:
Classify enterprise cash inflows and outflows into Operating, Investing, and Financing activities according to Accounting Standard 3 (AS-3 Revised) using the indirect method.

4 CORE PRINCIPLES TO UNDERSTAND FIRST

• **Three-Tier Activity Classification:** Cash flows are categorized into Operating Activities (principal revenue-producing activities), Investing Activities (acquisition and disposal of long-term assets), and Financing Activities (capital and borrowing structure changes).

• **AS-3 Indirect Method Logic:** Converts Net Profit Before Tax into operating cash flow by adding non-cash expenses (depreciation) and non-operating charges (interest), adjusted for working capital fluctuations.

• **Working Capital Adjustment Rules:** Decreases in Current Assets and Increases in Current Liabilities are added (cash generated); Increases in Current Assets and Decreases in Current Liabilities are deducted.

• **Cash and Cash Equivalents Reconciliation:** The net increase/decrease across the three activities added to opening cash & cash equivalents must exactly equal the closing cash & cash equivalents balance.

ESSENTIAL ACCOUNTING PRINCIPLES & FINANCIAL FORMATS

$$\Delta\text{Cash Equivalents} = \text{Operating Cash Flow} + \text{Investing Cash Flow} + \text{Financing Cash Flow}$$

AS-3 Revised Master Triple-Activity Cash Reconciler

$$\text{Operating Cash} = \text{NPBT} + \text{Non-Cash Items} - \Delta\text{Current Assets} + \Delta\text{Current Liabilities} - \text{Tax Paid}$$

Indirect Operating Activity Cash Generation Protocol

$$\text{Investing Cash Flow} = (\text{Sale of Fixed Assets} + \text{Dividend Received}) - \text{Purchase of Fixed Assets}$$

Long-Term Capital Investment Liquidity Profile

$$\text{Financing Cash Flow} = (\text{Issue of Shares} + \text{Issue of Debentures}) - (\text{Loans Repaid} + \text{Dividends Paid})$$

Corporate Financing Capital Structure Cash Dynamics

CRUCIAL EXAM PRECAUTIONS & VALUATION RUBRIC SECRETS

• **Alert:** Bank Overdraft and Cash Credit are financing activities (short-term borrowings), never included in Cash and Cash Equivalents.

• **Alert:** Dividend paid is always a Financing Activity; Dividend received is an Investing Activity (for non-financial enterprises).

• **Alert:** Non-cash transactions (e.g. issuing shares to vendors for purchasing machinery) are completely excluded from the Cash Flow Statement and disclosed in Notes.

HIGH-YIELD CENTUM QUESTIONS & STEP-BY-STEP EXPLANATIONS

1. What is a Cash Flow Statement? State the three activity heads prescribed by AS-3 (Revised). [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** A financial statement that reports historical cash and cash equivalent inflows and outflows during a specific accounting period. [1 Mark]

• **Three Heads:** (1) Cash flows from Operating Activities, (2) Cash flows from Investing Activities, (3) Cash flows from Financing Activities. [1 Mark]

2. Define Cash Equivalents according to AS-3. Give two examples. [Score: 2 Marks]

Answer & Key Valuation Steps:

• **Definition:** Short-term, highly liquid investments that are readily convertible to known amounts of cash and subject to insignificant risk of changes in value (maturity within 3 months). [1 Mark]

• **Examples:** Treasury bills, commercial paper, and short-term bank deposits. [1 Mark]

3. Classify the following into Operating, Investing, or Financing Activities for a manufacturing company: (a) Cash received from sale of goods, (b) Purchase of machinery, (c) Issue of equity shares, (d) Interest paid on debentures, (e) Dividend received on shares, (f) Payment of income tax. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Operating Activities:** (a) Cash received from sale of goods, and (f) Payment of income tax. [1 Mark]

• **Investing Activities:** (b) Purchase of machinery, and (e) Dividend received on shares. [1 Mark]

• **Financing Activities:** (c) Issue of equity shares, and (d) Interest paid on debentures. [1 Mark]

4. Explain why Depreciation is added back to Net Profit when calculating Cash Flow from Operating Activities under the indirect method. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Non-Cash Character:** Depreciation is an internal accounting book entry reducing net profit without causing any physical outflow of cash funds. [1.5 Marks]

• **Restoration of Cash Base:** Adding depreciation back neutralizes the non-cash charge to restore the authentic operational cash generated by business activities. [1.5 Marks]

5. Calculate Cash Flow from Operating Activities: Net Profit for the year Rs 1,50,000 after charging depreciation Rs 20,000 and loss on sale of machine Rs 5,000. Changes in working capital: Debtors increased by Rs 15,000; Inventories decreased by Rs 10,000; Creditors increased by Rs 8,000. [Score: 3 Marks]

Answer & Key Valuation Steps:

• **Operating Profit Before Working Capital Changes:** Net Profit Rs 1,50,000 + Depreciation Rs 20,000 + Loss on Sale Rs 5,000 = Rs 1,75,000. [1 Mark]

• **Working Capital Adjustments:** Add Decrease in Inventories Rs 10,000; Add Increase in Creditors Rs 8,000; Less Increase in Debtors Rs 15,000 (Net addition = Rs 3,000). [1 Mark]

• **Cash from Operating Activities:** Rs 1,75,000 + Rs 3,00,000 = Rs 1,78,000. [1 Mark]

6. Calculate Cash Flow from Investing Activities from the following: Machinery on 1st April 2023 was Rs 4,00,000 and on 31st March 2024 was Rs 5,20,000. Depreciation charged during the year was Rs 40,000. A machine costing Rs 50,000 (accumulated depreciation Rs 20,000) was sold for Rs 35,000. **[Score: 3 Marks]**

Answer & Key Valuation Steps:

• **Sale Consideration Inflow:** Cash inflow from sale of machine = Rs 35,000. **[0.5 Mark]**

• **Machinery Account Reconstruction:** Opening Cost Rs 4,00,000 - Sold Machine Cost Rs 50,000 = Rs 3,50,000. Closing balance Rs 5,20,000. Purchases = Rs 5,20,000 - Rs 3,50,000 = Rs 1,70,000 (cash outflow). **[1.5 Marks]**

• **Net Cash Flow from Investing Activities:** Inflow Rs 35,000 - Outflow Rs 1,70,000 = Net Cash Used in Investing Activities (Rs 1,35,000). **[1 Mark]**

7. From the following particulars, calculate Cash Flow from Financing Activities: Equity Share Capital: 2023 Rs 5,00,000, 2024 Rs 7,00,000; 10 percent Debentures: 2023 Rs 2,00,000, 2024 Rs 1,50,000; Securities Premium: 2023 Rs 50,000, 2024 Rs 70,000. Additional info: Interim dividend paid during the year Rs 40,000; Debenture interest paid Rs 20,000. **[Score: 4 Marks]**

Answer & Key Valuation Steps:

• **Issue of Shares with Premium:** Increase in Share Capital Rs 2,00,000 + Increase in Securities Premium Rs 20,000 = Cash inflow from share issuance Rs 2,20,000. **[1.5 Marks]**

• **Financing Cash Outflows:** Redemption of Debentures (Rs 2,00,000 - Rs 1,50,000) = Rs 50,000; Interim Dividend paid = Rs 40,000; Debenture Interest paid = Rs 20,000. Total outflows = Rs 1,10,000. **[1.5 Marks]**

• **Net Cash Flow from Financing Activities:** Inflow Rs 2,20,000 - Outflows Rs 1,10,000 = Net Cash Inflow from Financing Activities Rs 1,10,000. **[1 Mark]**